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ARTICLE

The Informal Economy in Comparative Perspective: Theory, Policy and Reality

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This article seeks to interrogate, with recent evidence, dominant theories about the informal economy and dominant policy responses to the informal economy. It does so from a comparative perspective using recent official national data and survey findings from around the world. The article opens with a summary of the first-ever global estimates of the size and composition of informal employment and the links between informal employment and poverty. Links between informal employment and inequality are also considered. Section 2 examines the dominant theories of structural transformation and of the drivers of informality through the lens of recent data which indicate that some of the key assumptions underlying these theories have not stood the test of time. Section 3 begins by examining dominant approaches to the informal economy, focusing on formalization and urban planning. It then presents an alternative enabling approach based on demands by organizations of informal workers, some of which have been enshrined in recent global norms. The concluding Section 4 calls for a paradigm shift in theories of—and policies towards—the informal economy.

At the outset, two widely held myths regarding statistical measurement of the informal economy need to be debunked: first, that there is no official statistical definition of the informal economy; and second, that the informal economy cannot be measured (Vanek 2015; Chen & Vanek 2017). There are, in fact, two official international statistical definitions related to the informal economy: both adopted by the International Conference of Labour Statisticians (ICLS) convened every five years by the International Labour Organization (ILO) to establish international standards for national labour force statistics. The first official definition, adopted by the ICLS in 1993, is of the "informal sector" defined as "production and employment in informal enterprises" which are, in turn, defined as "unincorporated enterprises that are also unregistered (with national authorities)" (ILO 1993). The second official

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definition, adopted by the ICLS in 2003, is of "informal employment" defined as "employment without social protection (OR paid annual and sick leave) through work" in informal enterprises, formal firms or households (ILO 2003). Although there is no official international definition of the "informal economy", it consists of all units, activities and workers in the informal sector and in informal employment, defined as above, and the output from them. Over 100 countries now use these definitions in their collection and tabulation of labour force data. Based on these data, the ILO published the first-ever global estimates of informal employment, both inside and outside the informal sector, in 2018 (ILO 2018a, b; Bonnet et al. 2019).[1]

1 Informal Employment in Comparative Perspective

The International Labour Organization (ILO) published the first-ever global estimates of informal employment in the third edition of a report called *Women and Men in Informal Employment: A Statistical Picture* developed in collaboration with WIEGO. The key findings are presented below.

1.1 Size and Composition

The first-ever global estimates on the size of informal employment (ILO 2018a, b) show that over 60% (61%) of all workers globally are informally employed—a total of 2 billion workers worldwide. On average, in developing countries, 90% of all workers are informally employed; in emerging economies, 67%; and, in developed countries, 18%.[2] By geographic region, nearly 80% (78%) of all workers in South Asia are informally employed; just over two-thirds (76%) in Sub-Saharan Africa (excluding South Africa), two-thirds (66%) in Southeast Asia, and just over half (51%) in Latin America (Ibid.).

Two important indicators of the composition of informal employment are "branch of the economy" and "status of employment". In developing countries, informal employment is predominantly in agriculture; in emerging and developed countries, it is predominantly in services (ILO 2018a, b). In all regions, the lowest percentage of informal employment is in manufacturing. Nearly two-thirds (64%) of all informal workers globally are self-employed: own account workers, self-employed who do not hire workers, account for 45% of all informal workers; contributing family workers in family enterprises or on family firms account for another 16%;[3] and employers who hire others only 3%. Just over one-third (36%) of informal workers are employees in informal enterprises, formal firms or households (Ibid.).

[1] Updated estimates are due to be published in late 2023 in the fourth edition of the publication.

[2] The country income groups used in the 2018 ILO estimates are from the World Bank.

[3] In labour force statistics, "contributing family workers" are one of four main statues in employment, together with employers, employees, and own account workers. Historically, contributing family workers have been classified as self-employed. Going forward, contributing family workers will be classified as a specific category of dependent workers.

In the 2018 ILO publication, informal enterprises were computed as the sum of own account workers and informal employers. Using this metric, 81% of all enterprises globally were informal: 83% in developing and emerging countries combined; and 56% in developed countries. Also using this metric, 85% of all informal workers were employed in informal enterprises, just over 11% in formal enterprises and just over 3% in households (ILO 2018a, b).

1.2 Links with Poverty

Not all informal workers are from poor households and not all formal workers are from non-poor households. However, there is a significant overlap between being informally employed and being poor. A higher percentage of informal workers than formal workers are from poor households in developed, emerging and developing countries (ILO 2018a, b). The close relationship between poverty and informality is also shown when comparing the percentage of workers from poor and non-poor households who are informally employed. In all developing and emerging countries, among workers from poor households, anywhere from just over half to as high as 98% (in Cameroon and Rwanda) are informally employed. In developed countries, among workers from poor households, the percentage who are informally employed ranged from 14 to 62% (ILO 2018a, b).

It should also be highlighted that informal earnings can help reduce poverty: by helping many near-poor households from becoming poor, many poor households from becoming poorer, and some poor households from working their way out of poverty. In their analysis of South African data, economists Paul Cichello and Michael Rogan found that even in a country where informal employment constitutes only around one-third of the workforce, the contribution of informal earnings to poverty reduction was evident (Cichello & Rogan 2018; Rogan & Cichello 2020).[4] They conclude that "informal workers are central to understanding and addressing poverty and inequality. And unjust exclusionary policies and practices contribute to the poverty and inequality of informal workers" (Cichello & Rogan 2018).

1.3 Links with Inequality

Linkages between informal employment and inequality can be considered through different lenses (income, wealth, opportunities) and between different actors, including inequalities between capital and labour (in employment relationships, supply chains and sub-sectors of the economy), between formal and informal workers and, within the informal workforce, between different statuses in employment, and between women and men.

[4] See 2020 blog by Rogan and Chicello summarizing their findings and analysis: https://www.wiego.org/blog/can-informal-employment-actually-reduce-poverty.

1.3.1 Inequality between Capital and Labour

Before the COVID-19 pandemic, the concentration of wealth and returns to capital were at unprecedented levels (Piketty 2013/2014). According to French economist Thomas Piketty, among others, economic growth, which results from productivity gains and is accompanied by population growth, tends to lead to economic convergence as prior wealth has relatively less impact under such circumstances. But today, Piketty argues, declining rates of population growth, among other factors, are pushing concentrations of wealth—and returns to capital—to unprecedented levels (Piketty 2013/2014). One such factor is technology. While technological progress can raise labour productivity and boost wages, it can also make it easier for owners of capital to substitute capital for labour and to contract labour without contributing to worker benefits and protections (think platform workers). Information technology is driving another factor—the globalization of production: making it possible for multinational firms to outsource labour-intensive production to developing nations.

In his book *The Great Convergence*, economist Richard Baldwin details how this combination of high tech with low wages has propelled industrialization in a handful of developing nations and deindustrialization in many developed nations, sometimes at the expense of unskilled workers in rich countries (Baldwin 2016). This process has generated not only millions of low-wage factory jobs in developing countries, but also millions of even lower-wage jobs for industrial outworkers, many of whom (called homeworkers) work from their own homes: notably in the textile, clothing, and footwear industries. These homeworkers absorb many of the risks (through irregular work orders) and costs (paying for their own workspace, equipment, electricity) of global production (Chen 2014). This use of low-wage factory workers and even lower-wage homeworkers has concentrated profits and power in multinational firms, often based in developed countries, who lead global supply chains. For instance, much of Nike's sportswear used to be made in Indonesia where factory workers, mostly women, often earned less than the minimum wage. And industrial outworkers, also mainly women, sub-contracted by Nike factories to sew shoe uppers or finish garments in their homes earned even less (Pieper & Puti 2017). As economist Diane Elson once observed: "There is perhaps no greater imbalance in income and power than that between lead firms and homeworkers in global supply chains" (Personal communication 2000). For details of the working conditions of homeworkers in global supply chains, and the need for transnational social contracts between capital and labour, see von Broembsen (2022).

Whether or not one subscribes to all of Piketty's arguments there is little doubt that, in today's globalized economy, economic growth has enhanced returns to capital and concentrated income and wealth at the tip of the economic pyramid—undermining labour's share of income and wealth, especially among informal workers at the base of the economic pyramid. Reinforcing this concentration of income and wealth is the fact that informality at the *tip* of the economic pyramid is often overlooked (e.g. tax evasion by wealthy individuals and corporations) and rewarded (e.g. governments bend their own rules to allot public land to real estate developers and public contracts to corporations); while informality at the *base* of the economic pyramid (i.e. the working poor in the informal economy and their livelihood activities) tends to be targeted and penalized (Roy 2005; Chen & Carre 2020).

The COVID-19 pandemic, which hit the informal workforce disproportionately hard, has contributed to widening inequality between informal workers and their employers and other dominant economic counterparts. As supply chains around the world were disrupted, those in the bottom links in those chains were the first to lose jobs, contracts or work orders. An 11-city study of the impact of COVID-19 crisis on several groups of urban informal workers found that sub-contracted homeworkers were the hardest hit and the slowest to recover (WIEGO 2022). The COVID-19 crisis also exposed and exacerbated the inequality in income and wealth between the super-rich and the working poor in the informal economy. While the incomes of the super-rich soared the incomes of informal workers plummeted. While the super-rich built mega yachts or flew to outer space, the working poor in the informal economy had to go further into debt and deplete their savings to feed their families.

1.3.2 Inequality between Formal and Informal Workers

Informal workers have lower earnings, on average, than formal workers (Chen et al. 2005). Also, as noted earlier, informal workers are more likely than formal workers to be from poor households (ILO 2018a, b). In large part this is because, as detailed in a 2002 ILO report on *Decent Work and the Informal Economy*, informal workers face greater deficits than formal workers in the four pillars of the ILO Decent Work Agenda: economic opportunities, worker rights, social protection, and representation in tripartite dialogues (ILO 2002). In addition, informal workers tend to fare less well than formal workers in terms of what might be called the four pillars of "decent living": namely, access to sufficient food, health, housing, and education. Most live, and some work, in informal underserved settlements. Also, there is an inverse correlation between levels of education and informal employment: 90% of those with no education and 85% of those with only primary education are informally employed while roughly half of those with secondary education and a quarter of those with tertiary education are informally employed (ILO 2018a, b; Bonnet et al. 2019).

In addition, the working poor in the informal economy—especially the self-employed—face greater *exposure to risks and shocks* than formal workers, including high exposure to policy uncertainty and policy hostility (as existing policies and laws tend to be biased against them); to economic shocks and risks (shifts in demand, prices and competition); and to occupational health and safety risks (associated with both their work and their workplaces) (Chen et al. 2005). Finally, despite their higher exposure to risks and shocks of different kinds, the working poor in the informal economy have less (if any) access to legal and social protection compared to formal workers.

1.3.3 Inequality within Informal Employment

In the late 1990s, the WIEGO Network commissioned two reviews of the links between informality, poverty, and gender: one of available literature (Sethuraman

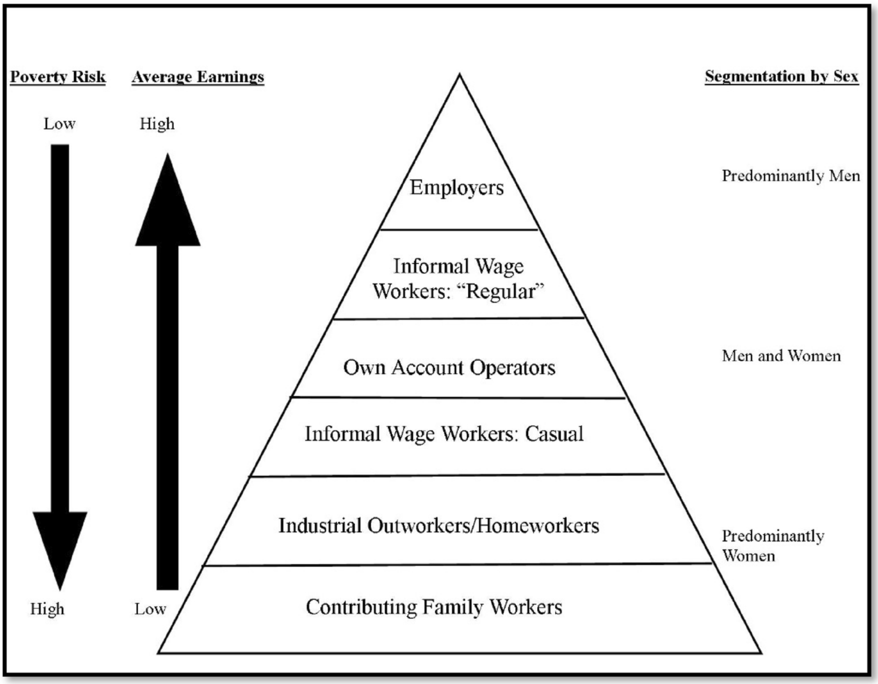

Fig. 1 WIEGO multi-segmented model of informal employment: Hierarchy of earnings and poverty risk by status in employment and sex. *Source:* Chen et al. (2005)

1998), the other of available statistics (Charmes 1998). Both reviews found a similar hierarchy of earnings and segmentation by employment status and sex.[5] These common findings provided the basis for the WIEGO multi-segmented model shown in Fig. 1.

In 2004, WIEGO commissioned data analysts to test this model in six developing countries—Costa Rica, Egypt, El Salvador, Ghana, India, and South Africa—by analysing national data in those countries (Chen et al. 2005). Data for casual day labourers and industrial outworkers were not available in these countries. But the available data allowed for a comparison of status in employment (measured at the

[5] In labour force statistics, two characteristics of jobs are relevant to differentiate them according to status in employment and to arrange them into aggregate groups. These are the type of authority that the worker is able to exercise in relation to the work performed and the type of economic risk to which the worker is exposed. In the current International Classification of Status in Employment (known as ICSE-18) hierarchy based on authority, there are two aggregate groups: Independent and Dependent Workers and five statuses: employer, own account worker ("independent worker without employee"), employee, dependent contractor and contributing family worker. The category of "dependent contractors" was added as part of the revision of the earlier ICSE-93 in a resolution adopted at the International Conference of Labour Statisticians in October 2018. "Industrial outworkers" including those who work in their own homes, called "homeworkers", will be classified under this new status.

individual level) and income poverty (measured at the household level), making it possible to estimate the percentage of workers in specific employment statuses who were from poor households (what WIEGO calls "poverty risk"). In all countries, average earnings went down and the risk of being from a poor household went up as workers moved down the employment statuses in the WIEGO model (Fig. 1).

More recent data from South Africa, analysed by economist Michael Rogan, reconfirm the unequal earnings and risk of poverty between informal workers differentiated by status in employment and by sex (as in Fig. 1 above). In South Africa in 2015, men were more likely than women to be employers, own account workers and employees (in both formal firms and informal enterprises). Women were more likely than men to be contributing family workers and domestic workers. Women own account workers earned just over half what men own account workers earned and women employees in formal firms earned less than men employees in formal firms. Among employers, employees in informal enterprises and domestic workers, women and men earned roughly the same and had roughly the same poverty risk (2015 South African Quarterly Labour Force Surveys, calculations by Mike Rogan, cited in Rogan and Alfers (2019) and Chen (2019).

Recent data from India confirm the unequal risk of poverty between households for whom regular salaried work is their main source of income as opposed to those who depend on self-employment or casual wage work. G. Raveendran, former Additional Director General of the Central Statistics Office (CSO), Government self-employment was the most important of India, used recent national consumption survey data to analyse the intersection of main source of household income by status in employment), social groups (by caste and religion),[6] and location (by urban and rural) in determining poverty outcomes at the household level (calculation by G. Raveendran, cited in Chen 2019).[7]

Raveendran's intersectional analysis provides a picture of both absolute and relative poverty/inequality across all households of India disaggregated by main source of household income and corresponding poverty head-count ratios, across caste-religious groups and location.[8]

In India in 2011–12, self-employment was the most important source of household income overall (50%) and for Scheduled Tribe (ST) households (50%). Casual work was the second most important source of household income overall (27%) but the most important source for Scheduled Caste (SC) households (46%). Regular wage work was the third most important source of household income overall (18%) and especially for Christian households (36%) followed by Upper Caste Hindu households (28%). The highest poverty head-count ratio was

[6] In India in 2019, 29% of the population belonged to Hindu Upper Castes or upper echelons of other religious groups, 43% to the Other Backward Castes, 19% to the SC, 9% to the ST.

[7] In his analysis of poverty estimates of households classified by main source of income and by social groups, G. Raveendran used the same estimation method, data set and poverty lines of the Expert Group (2012–2014) on measurement of poverty headed by C. Rangarajan.

[8] Income poverty is usually measured in absolute terms; as the proportion of the population below a particular poverty line. Income inequality refers to the disparities in relative income across the whole population: especially between the rich and the poor.

Table 1 Employment and inequality by caste in India: Percentage distribution of total population in India by main source of household income (MSHI) and caste groups with corresponding poverty head-count ratio (PHCR) (2011–12)

	MSHI	PHCR
Total workforce		
Causal wage	27%	45
Self-employment	50%	27
Regular wage	18%	14
Scheduled castes		
Causal wage	46%	47
Self-employment	35%	36
Regular wage	16%	22
Upper castes		
Causal wage	11%	37
Self-employment	55%	15
Regular Wage	28%	8

Source: Summary table by author of calculations by G. Raveendran, using unit level data sets of Consumer Expenditure Survey, 2011–12, cited in Chen (2019)

MSHI main source of household income, *PHCR* poverty head count ratio, % percentage distribution

for SC households who depend on casual work; the lowest poverty head-count ratios, excluding "other" households, was for Christian households which depend on self-employment (3%) and regular wage work (4%) followed by Upper Caste households which depend on regular wage work (8%).

In sum, by cross-tabulating households by main source of income and social group with the corresponding poverty head-count ratios, Raveendran's analysis of Indian data reveals significant income inequality. Table 1 captures the inequality between SC and Upper Caste Hindus: casual wage employment which has the highest poverty head count ratio was the main source of household income for nearly half of SC households but only 11% of Upper Caste households.

Several key points emerge from the evidence summarized above about the nature of work in developing and emerging economies that contribute to the inequality between capital and labour, formal and informal workers, and different groups of informal workers. First, there is a high prevalence of self-employment; most self-employment is informal and most informal workers are self-employed; and most informal self-employed are own account workers, who do not hire others, or contributing family workers in/on family firms or farms trying to earn a decent living, not entrepreneurs who hire others. Second, wage employment is often informal (in formal firms and households, not only in informal enterprises) and informal wage employment is often casual (on a daily, weekly, or seasonal basis) or sub-contracted (on a work order basis) rather than regular. Third, production for global supply chains involves not only low-paid factory workers, but also lower-paid industrial outworkers. And fourth, women and minority social groups (by race and caste) are often over-represented in the more disadvantaged segments of employment.

2 Theory and Reality: Structural Transformation and Drivers of Informality

2.1 Structural Transformation

In the mid-1950s, it was widely assumed that economic growth would lead to a structural transformation of the economy and of employment. Notably, Simon Kuznets predicted that economic growth would lead to a structural shift in the distribution of economic activity out of agriculture into manufacturing and services (Kuznets 1955). Around the same time, W. Arthur Lewis, in his Nobel Prize winning journal article, predicted that there would be a structural transformation in labour markets out of traditional self-employment into modern wage employment but that this shift would take longer in labour surplus economies than in other economies (Lewis 1954).

However, in many countries, economic growth and structural transformation have defied these predictions. Economic growth has outpaced structural transformation in many countries, including some which have graduated to middle-income status. For instance, India graduated to becoming a low middle-income country in 2008 but its transition out of agriculture has been slow and its workforce is still overwhelmingly informal: pre-COVID, 41% of the Indian workforce was in agriculture (World Bank 2020) and 90% was informal (Raveendran & Vanek 2020). In many countries, economic growth has not been associated with widespread industrialization or has, otherwise, outpaced employment growth. In India, economic growth has been led by the information technology sector, rather than by manufacturing which is more labour-intensive: for this, and other reasons, economic growth has far outstripped employment growth.

To help understand the pace and direction of structural transformation in labour markets, Table 2 and 3 present recent data on the percentage distribution of total and informal employment across branches of the economy (Table 2) and statuses in employment (Table 3) in different geographic regions (ranked by percent of informal employment). Across the regions, the transition out of agriculture increases as the percentage of informal employment decreases. But the transition has been far more into services than into manufacturing or other industries. In India, and other countries in South Asia, the transition out of agriculture and into services has been notably higher than in Sub-Saharan Africa but lower than in all other regions; and the transition into industry has been dramatically higher than in Sub-Saharan Africa but roughly the same as in the other regions.

Across the regions, the transition out of self-employment into wage employment increased as the percentage of informal economy decreased, with the notable exception of South Asia (excluding India) where the transition had been slower than in Sub-Saharan Africa (Table 3). In India, the transition into wage employment was nearly twice as high as in other countries of South Asia and notably higher than in the Sub-Saharan Africa region: mostly into formal wage employment. But the transition into wage employment in India was notably less than in other regions except Southeast Asia (excluding China) where it was

Table 2 Total and informal employment by geographic regions and branch of economy: Percentage distribution with regions ranked by percentage of informal employment

Geographic regions (excluding developed countries)	Agriculture		Industry		Services	
	T	I	T	I	T	I
Sub-Saharan Africa (92%) (excluding Southern Africa)	60	65	9	8	31	27
South Asia (88%) India	43	48	28	24	32	27
	41	49	24	25	35	26
East and Southeast Asia (77%) (excluding China)	36	45	23	20	41	35
Middle East and North Africa (68%)	24	34	23	25	52	41
Latin America and Caribbean (54%)	18	23	22	20	62	57
Southern Africa (40%)	10	17	22	19	68	64
Eastern Europe and Central Asia (37%)	16	33	26	24	58	43
Developed countries (18%)	3	10	22	19	75	71

Source for Regions: 2018 ILO calculations based on household survey micro datasets in ILOSTAT (presented in Bonnet et al. 2019, a statistical brief by ILO and WIEGO) *Source for India:* G. Raveendran estimates for 2018–19 based on PFLS. Industry = manufacturing only

Table 3 Total and informal employment by geographic regions and status in employment: Percentage distribution with regions ranked by percentage of informal employment

Geographic Regions (excluding developed countries)	Employers		Employees		Own account workers		Contributing family workers	
	T	I	T	I	T	I	T	I
Sub-Saharan Africa (92%) (excluding Southern Africa)	2	2	35	27	53	47	16	18
South Asia (88%)	1	1	26	20	58	62	15	17
India	2	1	48	14	37	70	13	15
East and Southeast Asia (77%) (excluding China)	4	3	46	39	35	36	15	23
Middle East and North Africa (68%)	6	9	60	44	25	36	9	11
Latin America and Caribbean (54%)	5	4	63	45	28	43	4	8
Southern Africa (40%)	5	5	84	70	10	22	1	3
Eastern Europe and Central Asia (37%)	2	2	79	65	14	23	4	11
Developed Countries (18%)	6	6	86	51	9	36	1	6

Source for Regions: 2018 ILO calculations based on household survey micro datasets in ILOSTAT (presented in Bonnet et al. 2019, a statistical brief by ILO and WIEGO) *Source for India:* G. Raveendran estimates for 2018–19 based on PFLS. Industry = manufacturing only

roughly the same; and a significant share of wage employment in India is informal, including for formal firms and households.

Table 4 captures the net effect of the slow rate and uneven pattern of structural transformation on the global labour market today. One quarter of all workers are still in agriculture while more than half (56%) are in services. Also, while

Table 4 Structure of employment today: Total and informal workers

	Percentage distribution of	
	Total workers	Informal workers
By branch of economy		
Agriculture	25	38
Industry	19	18
Services	56	44
By status of employment		
Employers	3	3
Employees	56	36
Own account workers	32	45
Contributing family workers	10	16

Source: ILO (2018a, b), Bonnet et al. (2019)

over half (56%) of all workers are employees, nearly half (44%) are self-employed (including employers, own account workers and contributing family workers).

2.2 Drivers of Informality

Historically, there have been four dominant schools of thought about the informal economy, each with their own theories about the nature of the informal economy and what drives informality (Chen 2012). The dualists argue that two imbalances drive informal employment: the imbalance in the growths rates of the population and of modern employment; and a mismatch between people's skills and the structure of modern economic opportunities. The legalists argue that the hostile legal system and cumbersome bureaucracy force the self-employed to operate informally. But voluntarists argue that workers and entrepreneurs chose to operate informally after weighing the cost-benefits of formality and informality, while the structuralists argue that the informal economy is a pervasive, and growing, feature of modern capitalism as the owners of capital prefer to hire workers and contract enterprises informally.

Other drivers of informality identified in the debates and literature on economic development include technology and trade, urbanization and migration, culture and social norms (e.g. gender norms and caste/inherited occupations) as well as economic downturns and crisis. Contrary to the earlier assumption that economic crises lead to an increase in informal employment, it is now widely recognized that the COVID-19 health-cum-economic crisis led to a marked decrease in informal employment: with the imposition of lockdowns and other restrictions at the onset of the pandemic; and with decreased demand and continuing disruptions to supply chains as the pandemic recession set in.

Today, two theories drives informality predominate in economics. The first is that the regulatory burden on firms drives informality because, in response, firms decide to hire workers informally. The second is that social protection systems that combine contributory social insurance for formal workers with non-contributory social protection for informal workers drive informality, as both firms and workers chose informality, which enables them to access some social protection benefits without having to pay employment-linked social insurance contributions. Considered another way, the fact that formal firms and formal workers have to make social protection contributions is seen to cause firms and workers to favour informality: making the second theory a specific variation of the first.

2.2.1 Regulatory Burden

The theory that regulations drive informality has been interrogated by (among others) Ravi Kanbur, the well-known Indian economist. In 2009, Kanbur formulated his oft-cited A–B–C–D model for understanding how firms respond to regulations:

- A—Stay within the ambit of the regulation and comply = *formal*
- B—Stay within the ambit of the regulation but do not comply = *evaders*
- C—Adjust activity to move out of the ambit of the regulation = *avoiders*
- D—Outside the ambit of the regulation in the first place, so no need to adjust = *outsiders*

In 2010, Kanbur tested his model in India by studying the non-compliance of firms with India's Factories Act. The test findings reported in Chatterjee and Kanbur (2015) are summarized here:

Formal (A) firms represent 1.1% of firms and 25% of workers.
Evader (B) and Avoider (C) firms combined represent 1.9% of firms and 11% of workers.
Outsider (D) firms represent 97% of firms and 64% of workers.

Given that an overwhelming majority of firms, accounting for 64% of all workers, fall outside the ambit of the Factories Act, Chatterjee and Kanbur concluded that a policy focus on "(de)regulation as a route to employment and productivity growth therefore has to be balanced with a focus on improving the productivity of those firms that would not be affected greatly, or at all, by the legislation in question". (Chatterjee and Kanbur 2015, p. 409). Considering the regulatory burden explanation from a global perspective, Kanbur has argued elsewhere that "to explain increases in informality the regulatory burden would have had to have increased. But… in the last two decades of liberalization, the regulatory burden has if anything decreased. The regulation-based explanation of increasing informality is thus weak at best" (Kanbur 2014, p. 7).

2.2.2 Bifurcated Social Protection Systems

The assumption that non-contributory social protection targeted to informal workers drives informality in contexts where formal workers must make contributions for social protection was popularized by the Mexican economist, Santiago Levy, in his influential book entitled *Good Intentions, Bad Outcomes: Social Policy, Informality and Economic Growth in Mexico* (Levy 2008). In his book, Levy analyses employment data and administrative data from Mexico's social security institute (Instituto Mexicano del Seguro Social, IMSS) to make the case that Seguro Popular, a non-contributory health insurance scheme for informal workers introduced in Mexico in 2004, had led to an increase in informal employment: and that, since the informal workforce is non-productive, this increase would create a long-term drag on economic growth in Mexico.[9]

However, according to official national labour force statistics, the rate of informal employment in Mexico decreased, rather than increased, between 2004 and 2019, the years that Seguro Popular was operative: from 59% of all workers in 2005 to 56% of all workers in 2019 (INEGI data cited in Salazar & Vanek 2020). Moreover, during that same period, the contribution of informal employment to gross domestic product (GDP) remained the same at just under 25%: of which half was generated by informal enterprises and half by informal workers in formal firms or households (INEGI data; calculations by Negrete 2022).

Moreover, a recent econometric analysis by Mexican economists of the same data sources used by Levy but for different years found that Seguro Popular did not have the effects predicted by Santiago Levy. Specifically, the recent analysis found no decrease in formal employment, no effect on wages of formal workers and no switching from formal jobs to informal jobs/work (Seira et al. 2023).[10] Further, an analysis of two waves (2006 and 2012) of the Encuesta Nacional de Salud y Nutricion (National Health and Nutrition Survey) of Mexico found a small, but robust, link between membership in Seguro Popular and a reduction in catastrophic health spending (Nikoloski & Mossialos 2018).

While acknowledging that targeted non-contributory social protection for informal workers makes sense from a *social point of view*, Santiago Levy makes the case for universal non-contributory social protection on *economic grounds*: arguing that a universal approach would avoid incentives for informality, facilitate business growth and lead to more productive job opportunities for everyone (Levy 2019, italics added). It is unclear whether such an approach could ensure high quality, affordable and equitably financed social protection for informal workers, since it would entail discontinuing most existing social insurance and social assistance schemes. In Levy's proposal, and a similar one by the World Bank (Packard et al. 2019), the

[9] This line of thinking featured notably in the 2021 UNDP Regional Human Development Report for Latin America, which declares that "social protection policies contribute to informality" because they "tax formality and subsidise informality" (UNDP 2021, p. 279).

[10] These findings are in line with most studies on Seguro Popular except one which found that provision of health coverage to those outside of formal employment had, by 4 years after its implementation, reduced formal employment in small firms by four per cent (Borsch & Campos-Vazquez 2014). The recent analysis cited here, which disproved the analysis of Borsch and Campos-Vazquez, replicated their study but (a) included more municipalities in the sample compared to the earlier sample (b) controlled for differential employment time trends of municipalities that adopted Seguro Popular at different stages, (c) used econometric methods that are robust to heterogeneous and dynamic treatment effects, (d) used an instrumental variable strategy, and (e) controlled for all time invariant worker characteristics using worker fixed effects (Seira et al. 2023).

financing of social protection systems would be shifted from employment-linked social insurance contributions, paid by both workers and employers, to a reliance on taxes and private savings. In Levy's proposal, universal benefits would be financed by increasing Mexico's value added tax and eliminating exemptions on food and prescription drugs. Recognizing that his financing proposal is regressive, Levy proposes a compensatory cash transfer to poorer workers. However, the Levy and World Bank proposals would not only increase the tax and savings burden on poor households but would also effectively reduce the obligation of employers and corporations to co-finance social protection for the working poor, beyond paying general taxes.

These on-going debates on how to provide and finance social protection for informal workers raise moral questions, especially considering the recent evidence cited above. Is it more perverse that a few workers and firms shift to informality when non-contributory social protection is offered to informal workers or that informal workers, well over half of all workers, do not receive social protection and face catastrophic costs when family members fall ill, are disabled, become old or die? Also, is it moral to shift the burden of financing social protection more towards the working poor and away from employers and corporations, the owners of capital? In other words, should policy decisions on how to provide and finance social protection to informal workers, who represent the majority of all workers and the vast majority of the working poor globally, be based solely on economic grounds or also on social justice grounds?

3 Policy Responses to Informality: Standard versus Alternative

This section explores the standard approaches to formalization of the informal economy and the standard responses of local governments to the urban informal economy which tend to be exclusionary and encumbering; and presents alternative approaches to each which are more enabling and inclusive.

3.1 Formalization[11]

At the heart of the policy debates on the informal economy is the question of whether and how to formalize the informal economy. Different analysts and stakeholders hold divergent notions of what formalization of the informal economy should entail. To some, it means shifting informal workers to formal wage jobs—but this requires creating more formal wage jobs. However, not enough jobs are being created to absorb the 473 million unemployed and persons who want employment but are not actively seeking a job—much less the 2 billion informally employed (ILO 2018a, b, 2023). Moreover, globally, the employment growth rate is slowing (ILO 2023). Also, many jobs being created are informal and many once-formal jobs

[11] This sub-section draws on the Conclusion to an edited volume entitled ***The Informal Economy Revisited: Examining the Past, Envisioning the Future*** (Chen et al. 2020).

have been and are being informalized. So why not promote and protect informal livelihoods in addition to creating formal jobs?

To others, formalization means registering and taxing informal enterprises. However, many informal workers earn too little to fall above the threshold for corporate or personal income taxes; and most informal self-employed do not hire workers so are not liable to pay payroll taxes (Kanbur & Keen 2014). Nonetheless, many informal self-employed do pay taxes of various kinds: operating fees, license fees, market rents. A recent study of 2700 informal self-employed in central Accra, Ghana[12] found that among the sample:

- 66% pay at least one tax or fee (in addition to value added taxes)
- 37% pay formal taxes (notably, a presumptive flat "stamp tax")
- 41% pay for licenses or business fees
- 16% pay at least one user fee to operate their business
- 95% pay service fees at their workplaces (for water, electricity, sanitation, waste removal)

The study also found that the tax and fee burdens are highly regressive: as the ratio of all taxes and fees to earnings where higher for informal workers than for formal workers; and higher for the lowest quintile of informal workers (9%) than for the highest quintile of informal workers (2%) (Anyidoho et al. 2022). Finally, it is important to recognize that informal workers want the benefits of formalization in exchange for paying taxes.

The WIEGO network has sought to influence the formalization debate to reflect the priority needs and demands of informal workers, based on its grounded knowledge of, and engagement with, different groups of informal workers (Chen 2006, 2009, 2012).[13] At the International Labour Conferences in 2014 and 2015, the WIEGO network facilitated a delegation of informal worker leaders to the 2-year standard-setting discussion on the "Transitioning from the Informal to the Formal Economy". To prepare the delegation for these discussions, including the drafting of a common platform of demands, WIEGO convened three regional workshops with informal worker leaders from 55 organizations and 24 countries. The common core demands of the informal worker organizations include: the right to organization, collective representative voice, legal identity and standing as well as labour rights, economic rights and social rights, including social protection. The WIEGO Network Platform also includes the demands of specific groups of workers[14]

[12] This was a collaborative study by the International Centre for Tax and Development (at the Institute of Development Studies, UK), the Institute of Statistical, Social and Economic Research (at the University of Ghana) and the WIEGO network.

[13] Together with organizations of informal workers. WIEGO has served on an R204 Task Team in South Africa established under an ILO-led initiative to implement R204 in that country.

For details, see https://www.wiego.org/sites/default/files/resources/files/OSF-WIEGO%20-%20R204%20implement%20SAf%20-%20Jane%20Barrett.pdf.

[14] The Platform is available at https://www.wiego.org/sites/default/files/resources/files/WIEGO-Platform-ILO-2014.pdf.

ILO Recommendation 204 on the "Transitioning from the Informal to the Formal Economy", adopted at the 2015 International Labour Conference, includes some of the key demands of the informal worker delegation, notably the recognition that most informal workers are from poor households trying to earn a living against great odds who need protection and promotion in return for regulation and taxation; most informal economic units are single person or family operations run by own account workers who do not hire others; regulated access to public space and natural resources are essential to the livelihoods of informal workers; and, perhaps most importantly, informal livelihoods should not be destroyed in the process of formalization.

Since Recommendation 204 was adopted in 2015, there has been increasing pressure on governments to formalize the informal economy. However, several observers have cautioned about possible adverse terms of formalization, questioning whose agenda is being served (Kamete 2020; Meagher 2020). Urban scholar Amin Kamete makes the case that some approaches to formalization are coercive and force the informal workers into "making crippling Faustian bargains that strip away the very soul of informality" (Kamete 2020, p.166). In India, the recent demonetization scheme and Goods and Services Tax (GST)—both promoted in the name of formalizing the informal economy—have served to disadvantage or cripple informal enterprises and workers. Demonetization disproportionately affected the (predominantly informal) firms that deal in cash (Harriss-White 2017). GST compliance has forced business transactions to be digitalized, and compelled formal firms to source from formal suppliers and informal firms to deal with more complicated bureaucratic procedures and the loss of contracts from formal firms. In the process, the number of jobs in informal enterprises has declined (Kumar 2019).

Finally, to understand the politics of formalization, it is important to consider some fundamental questions. In the name of formalization, who should comply with what? Must informal workers comply with existing formal policies and regulations that are not designed for them? Or do formal policies and regulations need to be amended to match the realities and needs of informal workers? Or do the State and Capital need to comply with the formal policies and regulations which they often avoid or find exceptions to? In other words, what is the end goal of formalization: to make informal workers, their enterprises and livelihood activities comply with existing policies and laws and/or to reform existing policies and laws to match the realities and needs of informal workers? In making the case that municipal and industry recycling systems should integrate into the existing recycling system of informal waste pickers, rather than vice versa, Louis Malanga, a South African waste picker, told a group of national and local officials: "it is the city who is integrating itself on our existing structures, because we've been doing it for many years, so it is them who is integrating into our existing systems" (cited in Samson 2020, p. 199).

Further, what about the difficult political challenge of who should—and can—regulate the state and capital, especially when they collude to bend formal rules? Consider the case of global supply chains, a mode of global production which encourages governments to attract foreign investors by relaxing regulations and multi-national companies to shift production to countries with the least-onerous regulations or weakest enforcement. To regulate homework in global supply chains, legal scholar activist Marlese von Broembsen and WIEGO colleagues recommend a "plural-overlapping conception of governance" which combines national regulations with "different forms of governance at different jurisdictional spheres". (Broembsen et al. 2019, p. 4). Von Broembsen sees a role for organizations of homeworkers in the governance of global supply chains but cautions that the burden of regulation and enforcement should not fall solely on homeworkers and their organizations: and calls for multi-stakeholder governance involving trade unions, citizen groups, corporations and the state as well as homeworker organizations (von Broembsen 2020). Similarly, legal scholar Adele Blackett makes the case for transnational regulation of domestic work, an occupation associated with significant cross-border migration (Blackett 2020).

To sum up, in the discourse on regulation and formalization, there is too much focus on the non-compliance or deviance of informal workers and too little focus on the non-compliance and deviance of state and capital and on the inappropriateness of existing policy and legal frameworks. More fundamentally, there is limited focus on institutions and power and how, more specifically, the State and Capital not only bend formal rules in their favour, but also use formal rules to penalize informal workers (Chen et al. 2020).

3.2 Urban Policies

The informal economy accounts for 50 to 80% of urban employment in cities across the global South: over three-quarters of urban employment in Africa, over half in Asia and the Pacific, and just under half in Latin America and the Caribbean (ILO 2018a, b). Informal enterprises generate from one-quarter to one-half of gross domestic product or value added outside of agriculture (ILO and WIEGO 2013). Also, informal economic activities are inextricably linked to the formal economy through the exchange of goods and services and global supply chains. For cities to be productive, sustainable and inclusive, they need to support informal workers and their livelihood activities. Yet most cities are either ambivalent or hostile towards urban informal workers.[4]

Development economist Ravi Kanbur uses the iconic case of street vending and urban space to illustrate, the tensions that arise when, as he puts it, "the irresistible force of increasing informality meets the immovable object of current analytical and administrative mindsets": in other words, when real-life trends challenge entrenched mindsets (Kanbur 2014, p. 8),

> Loitering and vagrancy laws are often used by the police, at the behest of local residents, to clear away street vendors from public spaces. Street vendors are seen as dirtying clean spaces and obstructing living spaces in various urban neighbourhoods. But street vending is the major form of livelihood for many in the informal economy. Thus, we see the almost daily drama of groups of informal traders being moved on from one place, only to congregate in another and perhaps eventually cycling back to the same place when the attention of the police is elsewhere. In the process an entire class of economic activity is criminalized.

> The daily drama is turned into a mega crisis when nations and cities host major international events, like the Commonwealth Games in Delhi, the World Cup in South Africa, or the World Cup and the Olympics in Brazil. "Beautification" programs in preparation for an event that lasts a few weeks lead to the displacement of thousands of informal sector workers from their normal place of trading and work. A different but conceptually similar crisis occurs/ when the work of garbage pickers is displaced by formalized mechanisms with contracts given to big companies. The policy mindset is such as to always view this move favourably, as being towards modernity and formality" (Kanbur 2014, pp. 9–10).

Sally Roever, an urban scholar activist, has characterized the common policy response to street vendors as three R's: Repression, Relocation and Regulation (Roever 2020). Repression takes the form of daily low-level harassment (Skinner 2008), frequent evictions to "recuperate" public space (Crossa 2009) and periodic bans outlawing street vending. Two standard economic arguments for relocation are that public space should be used as a vehicle for investment and that vendors should invest their own capital in private (off-street) vending sites (Roever 2020). Street vendors are also regularly evicted to make way for the building of roads and overpasses, public buildings and private malls and the conservation of historic downtown areas. In regard to urban regulations, the role of local governments is widely understood to include controlling and governing access to public space and restricting licenses in accordance with policy priorities (Ibid).

In India, the police can justify arresting, evicting, or otherwise penalizing street vendors on the basis of several national laws: the 1860 Indian Penal Code, the 1973 Code of Criminal Procedure, and the 1988 Motor Vehicles Act. Moreover, municipal governments are empowered by municipal corporation acts and urban planning laws to impose fines and warrants on street vendors for causing an obstruction or not having a license. And yet most cities have not issued new licenses for many years. Consider the case of Ahmedabad City: see Box 1.

Home-based workers and waste pickers are two other groups of (largely) self-employed urban workers who are directly impacted by city policies. While street vendors typify the need of the urban informal working poor for regulated access to public space, these two groups typify the needs of the urban informal working poor for, respectively, public services and public procurement. For home-based workers, whose homes double as workplaces, the lack of basic infrastructure services make their homes which double as workplaces less productive. Also, the lack of housing tenure and the threat of relocation create disincentives to home-based workers to invest in improvements in their homes-cum-workplaces. And home-based workers who are relocated, often to the periphery of cities, face high costs of transport to buyers, customers and contractors as well as decreased orders and customers. For waste pickers, who live off recycling waste that they reclaim from households, streets, waste bins or dumpsites, lack of access to waste and the lack of the right to bid for municipal solid waste management contracts make earning a decent livelihood very difficult.

Box 1 Street vendors in Ahmedabad City, India: Negotiating urban renewal and historic preservation

In Ahmedabad City, India, where there are an estimated 80–100,000 street vendors and over 160 street markets—what the Self-Employed Women's Association (SEWA), a trade union of 2.5 million women informal workers, calls "natural markets", not only because they are open-air but because they have operated for decades, if not generations, where pedestrians (potential customers) naturally congregate or pass by. SEWA coined and popularized the term "natural market' for areas where street vendors operate due to local demand for their goods and services. As SEWA puts it, natural markets are those which "organically evolve around the principle of demand and supply"

Despite the fact that India gained independence from the British in 1947, Gujarat became a separate state from the Bombay Presidency in 1960 and a national Street Vendors (Protection of Livelihood and Regulation of Street Vending) Act was passed by the Parliament of India in 2014, local authorities and the police in Ahmedabad still invoke two colonial-era laws from the Bombay Presidency to control streets and street vendors in Ahmedabad. According to the Bombay Provincial Municipal Corporation Act of 1949, street vendors are required to have licenses to vend in a public space, and commissioners have the right to remove, without notice, anything that is erected, deposited, hawked or sold in contravention of the Act (Chapter XIV Streets, Section 231). And the 1951 Bombay Police Act authorizes the police to remove obstacles on streets or public spaces (Chapter IV Policy Regulations, 34). However, the last time the Ahmedabad Municipal Corporation issued licenses to street vendors was in 1980 and only to 500 vendors, rendering all the other vendors "illegal" under the outdated laws. The regulatory gap between outdated laws and the numbers of street vendors on city streets or other public spaces creates opportunities for local operators to collect bribes or rent by informally authorizing the use of public space on a daily, weekly or monthly basis

Under recent large-scale urban renewal and urban infrastructure schemes in cities across India, the situation for street vendors has only gotten worse. In Ahmedabad, many of the nearly 160 natural markets in the city have been demolished—or are under threat of demolition—due to a new Bus Rapid Transit (BRT) system, a riverfront development project, a Model Roads scheme, and several historical preservation schemes. Each demolition involves the eviction of hundreds of street vendors—without consultation and often without plans for where to relocate them. For a case study of the recent eviction of more than 500 vendors from the Bhadra Chowk area of Ahmedabad City when it was being converted into a historic plaza and the successful struggle of the vendors with support from SEWA to be relocated in the plaza

Source: Chen (2022)

In 2018, the WIEGO network was invited to edit a special issue of the journal *Environment and Urbanization* on Urban Livelihoods. In their introduction to the special issue, the editors wrote:

> In cities across the world, households are the major site of production and public space is the major site of exchange. Yet city governments and urban planners do not recognize homes as workplaces or slums and squatter settlements as hubs of production; nor do they recognize street vendors for their contribution to exchange and trade in the city. (Chen et al. 2016, p. 10)

One factor underlying the common exclusionary approach to the urban informal economy is that, in many developing countries, urban planning laws and land use zoning have remained largely unchanged since the colonial era. Specific notions associated with this colonial legacy, which are currently being challenged, include: that homes and public space should serve only a single function or use; that informally prepared and distributed foods are a threat to consumer health; and that informal workers do not contribute to the economy or to urban service delivery (Skinner

& Watson 2020). These inherited notions and the political economy of urbanization, which favours the elite over the poor, have contributed to a call for urban policy based on urban realities and practice from the global South.

A growing number of cities in the global South are adopting an inclusive approach to urban informal workers and their livelihoods activities. For example, in India, the Mahila Housing Trust of the Self-Employed Women's Association has partnered with city governments to negotiate security of tenure and equitable access to basic infrastructure services to home-based workers (Jhabvala & Brahmbhatt 2020); the city government in Bhubaneshwar, India, designated vending zones for street vendors (Kumar 2012); the city government in Pune, Maharashtra, contracted a cooperative of waste pickers to provide waste collection services (Chikarmane 2012); and, as reported above, the city government in Ahmedabad, India, has relocated around 500 evicted street vendors to the open area where they used to vend after it was converted into a heritage plaza (Chen 2022). All of these promising examples emerged out of advocacy campaigns and legal struggles by organizations of informal workers with support from coalitions of allies.[15] At the heart of these campaigns is a call for participatory reforms of local economic development plans, urban land-use plans, urban policies laws and regulations involving informal worker leaders and other relevant stakeholders.

These advocacy campaigns also take place at the global level. For instance, due to the advocacy efforts of organizations of informal workers throughout the Habitat III process with support from the WIEGO network, the New Urban Agenda (adopted at the UN Habitat III conference in October 2016 and endorsed by the UN General Assembly in December 2016) contains key provisions which mandate recognition and support of the working poor in the informal economy: specifically, "recognize the contribution of the working poor in the informal economy particularly women"; and "enhance the livelihoods, working conditions and income security of the working poor in the informal economy, by promoting their legal and social protection; access to skills, assets and other support services, and voice and representation" (UN 2017).[16]

4 COVID Moment and Way Forward

4.1 COVID-19 and Informal Workers

In late April 2020, the ILO estimated that 1.6 billion people employed in the informal economy—80% of the global informal workforce and nearly half of the total global workforce—could see their livelihoods destroyed due to the decline in work, working hours and earnings brought on by lockdowns or other restrictions to curb

[15] For examples, visit https://www.wiego.org/our-work-impact/themes/inclusive-cities-and-urban-informal-economy.

[16] The informal economy is referenced in four paragraphs of the New Urban Agenda: 13(d), 58, 59 and 100.

the spread of COVID-19 (ILO 2020a, b, p. 1). This prediction was in marked contrast to the widely held assumption in previous economic crises that the informal economy offered “a cushion to fall back on” for formal workers who lost their jobs; with little, if any, consideration paid to the impact of crises on informal workers and their livelihoods. Since the onset of the pandemic, a growing body of studies on the impact of the COVID crisis on informal workers has confirmed the ILO prediction.

In mid-2020 and mid-2021, the WIEGO network undertook a panel study on the impact of the COVID crisis on informal workers in 11 cities across five regions of the world (Asia, Africa, Latin America, North America and Eastern Europe). The study findings confirm that the COVID crisis had a major negative impact on the work and earnings of the nearly 2000 informal workers in the study sample. In April 2020, during peak lockdowns or restrictions across the 11 cities, nearly two thirds (65%) of the informal workers in the sample were not able to work. By mid-2021, when the lockdowns or restrictions had been lifted or eased, 21% of the informal workers were still not able to work; and the average days of work per week and average earnings of those able to work were lower than pre-COVID. By then, the modicum of relief aid for informal workers had dried up in most cities and government recovery schemes did not target informal workers in any of the cities (Alfers & Juergens-Grant forthcoming; Mhlana et al. forthcoming). The net effect was that most of the sample had not been able to repay the loans they had taken, rebuild the savings they had depleted, replace the assets they had sold or pawned or pay the rental, utility, or school fees they had deferred since the onset of the pandemic. In short, even among those who were able to work in mid-2021. Many were still stuck in a deep pandemic hole (WIEGO 2022).

As part of its work on the impact of the pandemic on informal workers, the WIEGO network also commissioned analyses of recent national labour force data in Brazil, Chile, El Salvador, Mexico and Peru (Chen & Vanek 2017); and undertook a separate analysis of South African data on employment losses and gains during COVID-19 (Rogan & Skinner Forthcoming). The national data confirm that the pandemic, and associated restrictions and recession, had a major impact on total employment and a disproportionate impact on informal employment, except in Peru where the losses were greater in formal employment (except in Metropolitan Lima). Further, women workers suffered higher percentage losses of numbers employed than men in the five countries. However, the difference in employment losses and gains was greater between informal and formal workers than between women and men workers in Brazil, Mexico and Peru and roughly the same in Chile and El Salvador (Chen & Vanek 2017).

4.2 Post-COVID and the Informal Economy: A Paradigm Shift

As the evidence presented in this article has shown, informal workers represent the majority of all workers, especially the working poor, and the informal economy constitutes the broad base of the economy providing essential goods and services.

However, mainstream economists have tended to remain negative or hostile towards the informal economy: viewing informal workers (especially the self-employed) as non-compliant and non-productive—a problem to be tackled—and blaming the persistence of informality on informal workers themselves or on labour regulations and social policies that are seen to create perverse incentives for firms and workers to operate informally. Very few mainstream economists, with some notable exceptions, have given much thought to how economic policies—micro, sectoral and macro—impact the persistence and productivity of informal firms and workers.

The COVID-19 pandemic shown a spotlight on the essential goods and services provided by informal workers—from food to health and childcare to transport and waste collection; and also exposed the disadvantages and inequalities faced by informal workers in accessing health services and relief aid, in pursuing or restarting their livelihood activities and in receiving financial or other recovery support to rebuild their livelihoods and assets. In this post-COVID moment, a key policy question or challenge is what kind of future deal for informal workers will governments and the global development community envision and promote.

- the *Bad Old Deal*: on-going exclusion from economic policies and social protection plus adverse integration into supply chains; or
- a *Worse New Deal*: intensified harassment, destruction of their workplaces and erosion of their commercial and employment arrangements; or
- a *Better New Deal*: inclusion in economic policies, social policies and supply chains on an equal footing with formal firms and workers.

A *Better New Deal* for informal workers is imperative to reduce poverty and enhance economic growth. It would need to give priority to informal firms and workers in economic recovery schemes and in future economic policies. But this would require a shift in the dominant narratives in economics about the informal economy: from stigmatizing and penalizing informal workers to seeing them as the broad base of the economy providing essential goods and services; and from focusing on what policies drive informality to what policies would enhance the productivity and earnings of informal workers. Without such a shift, existing policies will continue to make it difficult for the working poor in the informal economy to dig themselves out of their pandemic hole and then continue to try to work their way out of poverty.

A new policy approach that promotes a *Better New Deal* for informal workers would need to address what *all* informal workers want and need—notably, recognition of their economic contributions, social and legal protection, access to public goods and collective voice in policy-making processes; and what *specific groups* of informal workers want and need—for example, housing tenure and basic infrastructure services for home-based workers, regulated access to public space and protection of their natural markets for street vendors; and the right to access waste and bid for solid waste management contracts for waste pickers. Most fundamentally, to inform and promote this paradigm shift, leaders of organizations of informal workers need to have a seat—a representative voice—at relevant policymaking and rule-setting tables.

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